Dollars Are For Spending and Investing, Not Saving

"THE DOLLAR HAS lost 96% of its purchasing power over the last century."

This statement is the most misleading claim in all of finance. Full stop.

The *collapse of purchasing power of the US dollar* is used to scare investors, sell dubious products, and fool people into believing nonsense. I see this misleading meme all the time; we will unpack the many reasons it is so deceptive.

Let's begin with the biggest issue: The US dollar (USD) is not a long-term **Store of Value**. That was never its intended purpose. Rather, the USD is a **Medium of Exchange**. There is an enormous difference between these two use cases, and those who seek to mislead people rely on their not understanding the difference.

People get paid in dollars. As a currency, it is widely accepted. I need the USD to be a store of value between the time I earn it, up until the moment I spend it, invest it, pay my taxes with it, or give it away. It manages that use case splendidly.

You work 40+ hours a week, and you get paid for your time, efforts, and expertise. Your compensation likely gets deposited directly into your bank account, where it is available for purchasing necessities (food, housing, clothing, medicine, transportation, etc.), discretionary spending (entertainment, travel, etc.), and for paying your taxes. The money you spend in 2025 is money you earned in 2025, not 1925.

So far so good.

But that's not all. You also have the opportunity to *invest those dollars*: You can buy a broad market index, and patiently wait for it to appreciate. You